WAVERLEY GATEWAY GUIDE

Connecting International Capital

MEXICO

North America

Information current as of November 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Mexico City (CDMX)	Capital and financial centre; the leading destination for FDI, attracting $16.9 billion in H1 2026	Financial services, insurance, corporate headquarters, technology
Nuevo León / Monterrey	Industrial powerhouse close to the US border and the second-largest FDI recipient in H1 2026 ($3.7 billion); centre of nearshoring activity	Advanced manufacturing, steel, logistics, industrial real estate
Bajío (Guanajuato, Querétaro, Aguascalientes, San Luis Potosí)	Central manufacturing corridor with deep automotive and aerospace supply chains linked by rail and highway to the US border	Automotive and auto parts, aerospace, agro-industry
Baja California / northern border states	Long-established export-manufacturing base integrated with US supply chains; Baja California drew $1.7 billion of FDI in H1 2026	Electronics, medical devices, export manufacturing
Jalisco / Guadalajara	Mexico's main technology and electronics cluster with a strong talent base	Electronics, software and IT services, food processing
Polos de Desarrollo Económico para el Bienestar	Fifteen planned development poles under Plan México; the first, in Tlaxcala, opened in April 2026 with more than $540 million of private investment	Automotive, food, metal-mechanical and regional manufacturing
Isthmus of Tehuantepec (Interoceanic Corridor)	Rail-linked Pacific–Gulf corridor between Salina Cruz and Coatzacoalcos with designated industrial development zones	Logistics, port services, energy, manufacturing

INVESTOR ENTRY ROUTES

- Secretaría de Economía (Ministry of Economy) leads investment attraction and trade policy, including a new single investment window (ventanilla única) announced in May 2026 targeting authorisations within 90 days, and under 30 days in specific cases
- Plan México, the federal industrial strategy, combining infrastructure investment, regulatory simplification and incentives to raise domestic production and exports
- Polos de Desarrollo Económico para el Bienestar offering a 100% immediate deduction for new fixed assets and additional 25% deductions for incremental training and R&D spending, for fiscal years 2025–2030 (decree of 22 May 2025)

- Energy-sector participation through CFE mixed-investment calls offering contracts of up to 25 years (CFE buying 70% of output), alongside fully private renewable and battery-storage calls
- Free-floating peso under Banco de México's credible inflation-targeting framework, with no general restrictions on profit repatriation
- USMCA rules-of-origin compliance as the gateway to tariff-free access to the US and Canada, complemented by the EU–Mexico Modernised Global Agreement signed in May 2026

MARKET-ENTRY OBSERVATION

Mexico in October 2026 combines record foreign investment, a recovering economy and strong macroeconomic anchors. GDP grew 0.9% quarter-on-quarter in Q3 2026 (3.2% year-on-year, preliminary estimate), led by services and industry, following growth of 0.8% in 2025. Foreign direct investment reached a record $40.9 billion in 2025, up 10.8%, with new investment more than doubling to $7.4 billion, and a record $35.0 billion arrived in H1 2026, 38.6% of it in manufacturing. Inflation stood at 3.45% in September within Banco de México's target range, the policy rate was cut to 6.25% in November 2026 after an extended easing cycle, international reserves reached a record $258.6 billion in August, and a $24 billion IMF Flexible Credit Line reflects what the IMF calls very strong policy frameworks. Under Plan México the government has launched a single investment window, tax incentives for new development poles and private energy calls that attracted offers of 34 GW against 7 GW sought.

Mexico's main structural consideration is its close integration with the United States, which takes more than 80% of its exports. At the first USMCA joint review on 1 July 2026 the US declined to confirm a 16-year extension, triggering annual reviews; the agreement remains fully in force, runs to 2036 and can be extended at any review, and USMCA-compliant goods, around 85% of exports to the US, retain preferential access. US Section 232 tariffs of 50% on steel and aluminium and 25% on non-compliant autos are the focus of bilateral negotiations, which Mexico describes as constructive. Mexico is diversifying actively, signing the Modernised Global Agreement with the EU in May 2026 and raising tariffs on imports from non-FTA countries to strengthen North American supply chains. On the fiscal side, the deficit is being reduced gradually from 5.8% of GDP in 2024 to a projected 3.9% in 2027, with public debt stable at around 54–55% of GDP and largely fixed-rate and in local currency, supporting Mexico's investment-grade ratings.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
USMCA review cycle	The US decision not to extend the USMCA in July 2026 means annual reviews, which may lengthen investment decision timelines while the agreement itself remains fully in force	Build USMCA rules-of-origin compliance into project design; a 16-year extension can be confirmed at any annual review, offering upside for early movers
US sectoral tariffs	Section 232 tariffs of 50% on steel and aluminium and 25% on non-USMCA-compliant autos affect some export flows; steel exports to the US fell 36.6% in 2025	Prioritise USMCA-compliant production and monitor bilateral talks, where tariff relief on steel, aluminium and autos is Mexico's top priority
Fiscal position and Pemex support	Support for Pemex kept the 2025 deficit at 4.8% of GDP; Moody's moved Mexico to Baa3 in May 2026 and S&P has a negative outlook, while all three agencies maintain investment grade	A gradual consolidation path to 3.9% of GDP in 2027, mostly fixed-rate local-currency debt and the IMF Flexible Credit Line provide substantial buffers
Security	Security conditions vary by region; official data show the daily homicide average down more than 52% between September 2024 and September 2026	Conduct site-specific security due diligence and favour established industrial parks with proven security arrangements
Judicial and regulatory change	Judicial reform introduced popular election of judges from 2025 and regulatory structures have been reorganised, which some investors watch closely	Use well-drafted contracts with international arbitration clauses and treaty protections where available, and engage regulators early
Energy and infrastructure capacity	Industrial growth requires additional power and water capacity; the state retains 54% of electricity generation, with private	Participate in CFE mixed-investment and private renewable calls, which open opportunities in generation and storage

Issue	Potential Impact	Possible Mitigation
	capital financing the rest	while securing supply
Moderate growth and currency movements	Official 2026 growth is projected at 1–2% and the peso can respond to global rate moves	A record reserves position and credible inflation targeting anchor stability; apply standard hedging for peso exposure

INVESTOR RISK NOTE

Mexico's risk profile is that of a large, deeply integrated manufacturing economy with credible macroeconomic institutions and record investment inflows. The IMF has highlighted Mexico's flexible exchange rate, credible inflation targeting, fiscal responsibility law and well-regulated financial sector, and record reserves of $258.6 billion provide a substantial cushion. The main considerations are the USMCA annual review cycle and US sectoral tariffs, a gradual fiscal consolidation that includes continued support for Pemex, regional security variation and changes to judicial and regulatory structures. Each is being actively managed: USMCA-compliant trade retains preferential access, negotiations with the US are ongoing, the deficit is on a declining path and official homicide data show sustained improvement. Investors should embed USMCA compliance and tariff scenarios in planning, conduct location-specific due diligence and use robust contractual protections, while positioning to benefit from nearshoring, Plan México incentives and a potential USMCA extension.

MARKET ACCESS

Mexico is a party to the United States–Mexico–Canada Agreement (USMCA), giving tariff-free access for compliant goods to a combined North American market, and is a founding WTO member and a member of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) and the Pacific Alliance. The Modernised Global Agreement with the EU, signed on 22 May 2026, broadens access in a relationship worth €86.8 billion in goods trade in 2025. Exports reached a record $664.8 billion in 2025, with manufacturing accounting for 91.6% and more than 80% going to the United States. Northern land border crossings, the Bajío rail and highway corridors and Pacific and Gulf ports, including the Interoceanic Corridor, connect Mexican production to North American, European and Asian markets.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Claudia Sheinbaum)	Sets national economic strategy, including Plan México, the development poles and the security agenda	Primary reference point for strategic direction and flagship investment announcements
Secretaría de Economía (Marcelo Ebrard)	Leads investment attraction, the single investment window and USMCA negotiations with the US	Principal first point of contact for market entry, incentives and trade-policy intelligence
Secretaría de Hacienda y Crédito Público (SHCP)	Finance ministry; sets fiscal policy, the annual economic package and tax incentives, with the SAT as tax authority	Key counterpart on tax incentives, fiscal outlook and public-private partnership frameworks
Banco de México (Banxico)	Autonomous central bank; manages inflation targeting, the free-floating peso and record international reserves	Relevant for currency, financial-sector and macroeconomic outlook matters
Comisión Federal de Electricidad (CFE) and Secretaría de Energía (SENER)	State utility and energy ministry running the mixed-investment and private generation and storage calls	Essential counterparts for energy investment and for securing power supply to industrial projects
Petróleos Mexicanos (Pemex)	State oil and gas company and a major fiscal and procurement actor	Key partner for oil, gas and oilfield-services engagement
Interoceanic Corridor of the Isthmus of Tehuantepec	State entity developing the Pacific–Gulf rail and port corridor and its industrial zones	Counterpart for logistics, port and southern-Mexico manufacturing opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce of Mexico, the British Chamber of Commerce in Mexico and European chambers provide well-established networks for foreign investors, while the Consejo Coordinador Empresarial (CCE) and the industrial confederation CONCAMIN are the main domestic business voices and partners in Plan México. More than 11,000 EU businesses already operate in Mexico, and state-level economic development secretariats in Nuevo León, the Bajío and Jalisco actively court investors with site and incentive support. Development banks Nacional Financiera and Bancomext support supply-chain and export finance, and the Inter-American Development Bank, IFC and World Bank are active in infrastructure, energy and private-sector development.

INVESTOR PROFILE BEST SUITED

Mexico is best suited to manufacturers seeking USMCA-compliant production close to the US market, particularly in automotive, electronics, medical devices, aerospace and electrical equipment; industrial real-estate and logistics investors serving nearshoring demand in the north and the Bajío; renewable-energy and storage developers able to participate in CFE and private calls; and financial-services, technology and consumer investors targeting Mexico's large domestic market. Investors willing to locate in the new development poles or southern Mexico can access additional tax incentives and less congested labour markets, while all investors should plan for USMCA review cycles and tariff scenarios.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Secretaría de Economía and the single investment window
Open early dialogue on project fit with Plan México and use the single window to secure authorisations within the targeted 90-day timeframe.

STEP 2: Design for USMCA compliance from the outset
Structure supply chains and content to meet USMCA rules of origin, and model tariff and annual-review scenarios for US-bound exports.

STEP 3: Evaluate development-pole and regional incentives
Compare the 100% immediate deduction available in the Polos de Desarrollo Económico para el Bienestar with state-level incentive packages in established industrial clusters.

STEP 4: Secure power, water and site security early
Engage CFE and industrial-park operators on energy supply, consider participation in mixed or private generation calls, and commission location-specific security due diligence.

STEP 5: Build legal and currency protections into the structure
Use international arbitration clauses and available treaty protections, including under the new EU–Mexico agreement, and hedge peso exposure where material.